Chapter Fifty-Seven

Expenditure Reforms

Fundamental Construct of Public Finances

The government in India—the Centre and states together—is the sovereign. The theory of social contract postulates that the sovereign or government is created by the people to take care of the common good. This includes providing public goods and services to people paid for by them in the form of taxation and other revenues from natural and common resources. The expenditure on public goods and services incurred by the government paid for by its revenue from taxes and exploitation of common resources is the basic structure and construct of public finances. Soundness of public finances requires the expenditure incurred by the government and revenues raised for making these expenditures equal. There may, however, be intertemporal differences in the revenues received and expenditure required. The same may be met by keeping revenues in funds if the revenues exceed normal expenditure or by borrowing to meet the deficit in case expenditure exceeds revenues.

This fundamental construct of public finances, therefore, comprises three parts:

First, the government incurs public expenditure on providing common or public goods and services to people.

Second, the scale of public expenditure should and is limited by the normal revenues the government can collect from taxes and exploiting natural/common resources.

Third, intertemporal mismatches in normal expenditure and normal revenues can be met by raising debt or keeping excess revenue in funds for